Company Registration Number 03197756

QPR Holdings Limited

Financial Statements

31 May 2020

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QPR Holdings Limited

Financial statements

Year ended 31 May 2020

Contents	Pages
Company information	1
Executive Chairman's report	2
Strategic report	3 to 4
Directors' report	5
Independent auditor's report to the shareholders	6 to 7
Consolidated statement of comprehensive expense	8
Consolidated statement of financial position	9
Company statement of financial position	10
Consolidated statement of cash flows	11
Company statement of cash flows	12
Consolidated and Company statement of changes in equity	13
Notes to the financial statements	14 to 28

The board of directors	Mr T Fernandes Mr A Bhatia Mr K Meranun Mr R Gnanalingam
Registered office	Kiyan Prince Foundation Stadium South Africa Road London W12 7PJ
Auditor	BDO LLP Chartered Accountants Statutory Auditor 55 Baker Street London W1U 7EU
Bankers	The Royal Bank of Scotland PLC 155 Bishopsgate London EC2M 3YB Metro Bank One Southampton Row London WC1B 5HA

QPR Holdings Limited

Executive Chairman's Report

Year ended 31 May 2020

On behalf of the Board of Directors, I present the annual financial statements and reports for the year ended 31 May 2020.

On the Field

Mark Warburton began his tenure as the First Team Manager by guiding the team to 8th position in the table at the end of October. The form was fairly consistent with encouraging performances from several individual players. The rigours of the Championship caught up with our young squad and the next two months proved challenging as we slipped to 15th and 7 points from the play-off positions by the end of the year. While we had many memorable moments in the next two months, we were unable to replicate the early season consistency, and by the end of February we were still in 14th position.

The global pandemic which we truly felt on our shores from late February 2020, proved to be one of the most harrowing events that any of us will experience in our lifetimes. Football was a mere footnote as we all adjusted to the new realities of life as we battled the spread of Covid-19. As I write this now, we are still in the grips of the pandemic, nearly one year later. More on the impact of this pandemic on the Club in the section below. Due to the spread of the virus, the season was suspended after just one fixture in March. There were discussions between the League, clubs and the relevant authorities on the next steps and the choice of how we were to proceed with the season or to prematurely end the season. Numerous scenarios and outcomes were reviewed and nearly three months later, the season re-commenced, but only for the Championship and behind closed doors, i.e. without any fans.

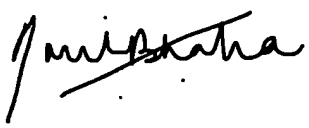
Being only 6 points from 6th position prior to the suspension, we were in a good position to mount a late challenge for one of the play-off spots. However, we lost the first 3 matches post suspension which ended any hopes of climbing the table. We won only two of the remaining 7 matches as our season came to a close and we finished in 13th position. Whilst it was an improvement from the 1819 season, when we finished 19th, it was still a disappointing end to the season.

The highlight of the entire season was the standout performances from our very own Eberechi Eze. Joining us as an 18-year-old, in August 2016, Eze has developed into an outstanding midfield maestro with a professional attitude on and off the pitch. At the end of the season, in which he gave us numerous memorable performances, Eze moved on to the Premier League, joining Crystal Palace FC on a permanent transfer for a club record transfer fee. We wish Eze all the very best and look forward to him fulfilling his potential on the biggest stage.

Prospects

As I have written above, the 2019/20 season was severely affected by the pandemic. Due to the mid-season suspension, the season eventually only ended at the end of July, with our last 9 matches played behind closed doors. This had an adverse effect on the financials of the Club, as we lost a significant amount of match day revenue, retail and sponsorship income The delayed finish of the 1920 season resulted in the 2021 season only commencing in September 2020, but behind closed doors. This has again taken a toll on the financials of the Club, this time more severely than the 1920 season, as we have played nearly the whole season so far behind closed doors. The impact on our bottom line has significantly impacted our strategic plans, and we are concentrating our main efforts on minimising the adverse financial impact this season.

One positive outcome this season has been the completion of the purchase of the Heston Training Ground from Imperial College of Science, Technology and Medicine. The Heston site currently houses our Academy and this purchase will allow us to develop a training ground that will host the First Team, Under 23s and the Academy. This will go a long way towards our goal of ensuring the Club is financially self-sustainable. As a result of this completion of purchase, we terminated the lease and ceased the development of the previous site. In summary, although the resumption of the season post the suspension didn't go as well as expected, we received a Club record transfer fee from the sale of Eberechi Eze and completed the purchase of the new training ground at Heston



Amit Bhatia
Chairman

8 March 2021

Principal activities
The principal activity of the Company and the Group is that of a professional football club, with related commercial activities.

Business Review
The results for the year are summarised below:

- Group turnover was £18.3m, which is much lower than in the previous year (£34.6m). This is mainly a result of the cessation of parachute income from the 2018/19 season, and the impact from the suspension of the season and the recommencement behind closed doors.
- Total ticketing revenue at £4m, lower than in the prior year (£5.4m).
- Group operating losses increased to £15.5m after player trading, compared to £9.4m in the prior year.
- At the reporting date the Group had bank reserves of £1.1m, compared to £3.5m in the prior year.
- At the reporting date the Group's deficit position was £50.2m, compared with a £33.8 million deficit in the prior year.

Cash flow and treasury
Net cash outflow from operations amounted to £13.6m as compared to £13.4m in the previous year.

The Group incurred a cash cost of £60,000 (2019: £329,000) to acquire additional players during the year. The Group received £7.4m (2019: £11.4m) in shareholder financing during the year.

Risks and uncertainties
There are a number of potential risks and uncertainties that could have a material impact on the Group's long-term performance. These risks and uncertainties are monitored by the Board on a regular basis and the Board remains confident that the Group has sufficient financial backing to manage these issues.

Football
The Group's income will always be directly affected by the performance of the first team and the Club's league status. The level of attendance may be influenced by factors such as the success of the team, ticket prices, broadcast coverage and the general economic climate.

The performance of the playing squad, as well as the football management staff, is hugely important to the Group, which maintains its strategy of trying to retain the highest quality playing and management staff. The Group operates in a highly competitive market for talent and the market rates for transfers and wages is, to a varying degree, dictated by competitors and the Group recognises the significance of this in relation to the desire to maintain the strength of the first team.

The Club is regulated by the rules of the various governing bodies and any change to these rules could have an impact on the Group. The Group monitors its compliance with all applicable rules and considers the impact of any changes.

Commercial
The Group derives income from sponsorship and other commercial arrangements. Broadcasting and certain other revenues are derived from contracts that are currently centrally negotiated by the Football League; the Group does not have any influence on the outcome of the relevant contract negotiations.

Post reporting date events
The details of these are included in note 23 of the financial statements.

Future Developments
The short term objective is to be competitive in the Championship and target a play-off place. The Board's primary aim is also to implement the strategic plans to ensure that the Club is self-sustainable in the near future.

Going Concern
The Group's business activities, together with the factors likely to affect its future development and performance are set out above. The financial position of the Group, its cash flows, liquidity position and borrowings are described in these financial statements.

The Group is dependent on the continued support of its significant shareholders, Total Soccer Growth Sdn Bhd and QPR Asia Sdn Bhd, in order to remain a going concern. These shareholders have confirmed under deed that they will continue to provide financial support to the Group for at least a period until 31 May 2022, in order for the Group to be able to meet its liabilities as they fall due. The directors have considered the Group's financial position, forecast cashflow and the availability of financial support from its significant shareholders and consider that it is appropriate to the prepare the financial statements on a going concern basis.

Financial risk management objectives and policies
Financial instruments are used for financing purposes only. It is Group policy not to trade in financial instruments. The details of financial risk management are included in note 22 of the financial statements.

The board of directors sets out the financial risk management policies that are implemented by the finance department. The Board considers that financial risks do not pose a major threat to the Company.

Amit Bhatia
Chairman

Approved by the directors on 8 March 2021

The directors have pleasure in presenting their report and the audited financial statements of the Group for the year ended 31 May 2020.

Results and dividends
The loss for the year amounted to £16.4m (2019: £10.4m). The directors have not recommended a dividend.

Directors
The directors who served the Company during the year were as follows:

Mr A Bhatia
Mr T Fernandes
Mr K Meranun
Mr R Gnanalingam
Mr J Reuben — Resigned 23 October 2020

Directors' responsibilities
The directors are responsible for preparing the strategic and directors' report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). Under Company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and the Group and of the profit or loss of the Group for that year.

In preparing those financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Group will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Group and Company's transactions and disclose with reasonable accuracy at any time the financial position of the Group and Company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the Group and Company hence taking reasonable steps for the prevention and detection of fraud and other irregularities.

Directors' indemnities
The Group maintains directors' and officers' liability insurance providing appropriate cover for any legal action brought against its Directors.

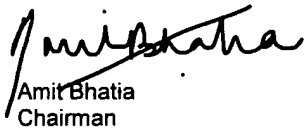
Strategic Report
The business review and risk management policy are located in the strategic report on pages 3 to 4.

Auditor
BDO LLP are deemed to be re-appointed under section 487(2) of the Companies Act 2006.

Insofar as the directors are aware:

- there is no relevant audit information of which the Group's auditor is unaware; and
- the directors have taken all steps that they ought to have taken to make themselves aware of any relevant audit information and to establish that the auditor is aware of that information.

Signed on behalf of the directors



Amit Bhatia
Chairman
Approved by the directors on 8 March 2021

Opinion

We have audited the financial statements of QPR Holdings Limited ("the Parent Company") and its subsidiaries ("the Group") for the year ended 31 May 2020 which comprise The Consolidated Statement of Comprehensive Income, The Consolidated and Company Statement of Financial Position, Consolidated and Company The Statement of Changes in Equity, the Consolidated and Company statement of cash flows and the notes to the financial statements, including a summary of significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including Financial Reporting Standard 102 The Financial Reporting Standard applicable in the UK and Republic of Ireland (United Kingdom Generally Accepted Accounting Practice).

In our opinion:

- the financial statements give a true and fair view of the state of the Group's and of the Parent Company's affairs as at 31 May 2020 and of the Group's loss for the year then ended;
- the financial statements have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- the financial statements have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the Group and the Parent Company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Other information

The Directors are responsible for the other information. The other information comprises the information included in the Strategic Report, Directors report and financial statements, other than the financial statements and our auditor's report thereon. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether there is a material misstatement in the financial statements or a material misstatement of the other information. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Opinions on other matters prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the Strategic report and Directors' report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the Strategic report and Directors' report have been prepared in accordance with applicable legal requirements.

Matters on which we are required to report by exception

In the light of the knowledge and understanding of the Group and the Parent Company and its environment obtained in the course of the audit, we have not identified material misstatements in the Strategic report and Directors' report.

We have nothing to report in respect of the following matters in relation to which the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept by the Parent Company, or returns adequate for our audit have not been received from branches not visited by us; or
- the Parent Company financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of Directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Responsibilities of Directors

As explained more fully in the Statement of Directors' Responsibilities, the Directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the Directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Directors are responsible for assessing the Group's and the Parent Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Directors either intend to liquidate the Group or the Parent Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

A further description of our responsibilities for the audit of the financial statements is located on the Financial Reporting Council's website at: https://www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditor's report.

Use of our report

This report is made solely to the Parent Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Parent Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Parent Company and the Parent Company's members as a body, for our audit work, for this report, or for the opinions we have formed.

BDO LLP

Gareth M Jones (Senior Statutory Auditor)
For and on behalf of BDO LLP, Statutory Auditor
London, UK
8 March 2021

BDO LLP is a limited liability partnership registered in England and Wales (with registered number OC305127).

QPR Holdings Limited

Consolidated statement of comprehensive expense

Year ended 31 May 2020

	Note	2020 £'000	2019 £'000
Revenue	2	**18,299**	34,568
Cost of sales		**(26,346)**	(35,820)
Gross loss		**(8,047)**	(1,252)
Administration expenses		**(9,009)**	(10,650)
Operating loss	3	**(17,056)**	(11,902)
Profit/(loss) on disposal of plant & equipment	6	**1**	(6)
Profit on disposal of player registrations	6	**5,994**	2,516
Loss on disposal of asset under construction	6	**(4,462)**	-
		(15,523)	(9,392)
Finance income	7	**41**	12
Finance costs and similar charges	7	**(911)**	(1,007)
Loss on ordinary activities before taxation		**(16,393)**	(10,387)
Tax	8	**-**	-
Loss for the financial year and total comprehensive expense		**(16,393)**	(10,387)

All of the activities of the Group are classed as continuing.

The notes on pages 14 to 28 form part of these financial statements

QPR Holdings Limited

Consolidated Statement of financial position

As at 31 May 2020

	Note	2020 £'000	2019 £'000
Non-current assets			
Intangible assets	9	**42**	1,553
Property plant and equipment	10	**16,006**	21,486
		16,048	23,039
Current assets			
Inventories	12	**240**	306
Trade and other receivables	13	**5,056**	4,734
Cash and cash equivalents		**1,130**	3,520
		6,426	8,560
Current liabilities	14	**(63,533)**	(55,820)
Net current liabilities		**(57,107)**	(47,260)
Total assets less current liabilities		**(41,059)**	(24,221)
Non-current liabilities	15	**(9,142)**	(9,587)
		(50,201)	(33,808)
Capital and reserves			
Share capital	20	**93,465**	93,465
Share premium account		**160,301**	160,301
Profit and loss account		**(303,967)**	(287,574)
Net deficit		**(50,201)**	(33,808)

These financial statements were approved by the directors and authorised for issue on 8 March 2021, and are signed on their behalf by:

Amit Bhatia
Chairman

The notes on pages 14 to 28 form part of these financial statements

QPR Holdings Limited

Company statement of financial position

As at 31 May 2020

	Note	2020 £'000	2019 £'000
Non-current assets			
Property plant and equipment	10	**16,006**	21,486
Investments	11	**5,520**	5,520
		21,526	27,006
Current assets			
Inventories	12	**240**	306
Trade and other receivables	13	**2,197**	1,969
Cash and cash equivalents		**808**	3,128
		3,245	5,403
Current liabilities	14	**(66,570)**	(57,687)
Net current liabilities		**(63,325)**	(52,284)
Total assets less current liabilities		**(41,799)**	(25,278)
Capital and reserves			
Share capital	20	**93,465**	93,465
Share premium account		**160,301**	160,301
Profit and loss account		**(295,565)**	(279,044)
Net deficit		**(41,799)**	(25,278)

The Company has taken advantage of section 408 of the Companies Act 2006 not to publish its statement of profit or loss.

The loss dealt with in the financial statements of the parent Company was £16,521,000 (2019: £10,504,000).

These financial statements were approved by the directors and authorised for issue on 8 March 2021, and are signed on their behalf by:

Amit Bhatia
Chairman

Company Registration Number: 03197756

The notes on pages 14 to 28 form part of these financial statements

QPR Holdings Limited

Consolidated Statement of cash flows

Year ended 31 May 2020

	Note	**2020** **£'000**	2019 £'000
Net cash outflow from operating activities	21	**(13,581)**	(13,375)
Returns on investments and servicing of finance	21	**(3)**	12
Capital expenditure and financial investment	21	**3,784**	2,993
Cash outflow before financing		**(9,800)**	(10,370)
Cash flows from financing activities	21	**7,410**	11,400
Net change in cash and cash equivalents		**(2,390)**	(1,030)
Cash and cash equivalents at beginning of year		**3,520**	2,490
Cash and cash equivalents at end of year		**1,130**	3,520

The notes on pages 14 to 28 form part of these financial statements

QPR Holdings Ltd

Company Statement of cash flows

Year ended 31 May 2020

	Note	2020 £'000	2019 £'000
Net cash outflow from operating activities	21	**(9,336)**	(10,194)
Cash flows from investing activities	21	**(3)**	12
Capital expenditure and financial investment	21	**(391)**	(450)
Cash outflow before financing		**(9,730)**	(10,632)
Cash flows from financing activities	21	**7,410**	11,400
Net change in cash and cash equivalents		**(2,320)**	798
Cash and cash equivalents at beginning of year		**3,128**	2,360
Cash and cash equivalents at end of year		**808**	3,128

The notes on pages 14 to 28 form part of these financial statements

QPR Holdings Limited

Statement of changes in equity

Year ended 31 May 2020

Consolidated	Share capital £'000	Share premium £'000	Profit and loss account £'000	Total £'000
Equity shareholders' funds as at 1 June 2018	71,500	160,301	(277,187)	**(45,386)**
Transactions with owners				
Ordinary Share issue	21,965	-	-	**21,965**
Loss and total comprehensive expense for the year	-	-	(10,387)	**(10,387)**
Equity shareholders' funds as at 31 May 2019	93,465	160,301	(287,574)	(33,808)
Loss and total comprehensive expense for the year	-	-	(16,393)	**(16,393)**
Equity shareholders' funds as at 31 May 2020	**93,465**	**160,301**	**(303,967)**	**(50,201)**

Company	Share capital £'000	Share premium £'000	Profit and loss account £'000	Total £'000
Equity shareholders' funds as at 1 June 2018	71,500	160,301	(268,540)	**(36,739)**
Transactions with owners				
Ordinary Share issue	21,965	-	-	**21,965**
Loss and total comprehensive expense for the year	-	-	(10,504)	**(10,504)**
Equity shareholders' funds as at 31 May 2019	93,465	160,301	(279,044)	**(25,278)**
Loss and total comprehensive expense for the year	-	-	(16,521)	**(16,521)**
Equity shareholders' funds as at 31 May 2020	**93,465**	**160,301**	**(295,565)**	**(41,799)**

The notes on pages 14 to 28 form part of these financial statements

1. Accounting policies

a) Statement of compliance

QPR Holdings Limited is a private Company limited by shares incorporated in England and Wales, No: 03197756. The Registered Office is Kiyan Prince Foundation Stadium, South Africa Road, London, W12 7PJ.

b) Basis of accounting

The consolidated financial statements have been prepared in accordance with Financial Reporting Standard 102 as issued by the Financial Reporting Council. The financial statements have been prepared on the historical cost basis except for player registration fees greater than one year which are recorded at amortised cost. The principal accounting policies that have been applied consistently by all Group companies to all periods presented in these consolidated financial statements are set out below. The financial statements are prepared in sterling, rounded to the nearest thousand, which is the functional currency of the entity.

The preparation of financial statements in conformity with FRS 102 requires the use of certain critical accounting estimates. It also requires management to exercise its judgement in the process of applying the accounting policies selected for use by the Group. The areas involving a higher degree of judgement or complexity, or areas where assumptions and estimates are significant to the consolidated financial statements are disclosed below. Use of available information and application of judgement are inherent in the formation of estimates. Actual outcomes in the future could differ from such estimates.

c) Going concern

In assessing the appropriateness of the going concern assumption, the Directors have produced detailed cashflow projections. These cash flow projections show a significant net operating and investing cash outflow for the going concern review period. Having made appropriate enquiries, the financial statements have been prepared on the going concern basis on the grounds that the Group's main shareholders have confirmed under deed of support to provide loan facilities of up to £19.7m to the period ending 31 May 2022. The deed of support also provides that loans will not be recalled during the commitment period unless there is a material deviation from the cash flow projections or the Group enters into debt restructuring exercise with the agreement of its creditors.

The financial statements make no provision for any adjustment should the going concern basis not be appropriate.

d) Basis of consolidation

The consolidated financial statements incorporate the financial statements of the Company and all Group undertakings. These are adjusted, where appropriate, to conform to Group accounting policies. As a consolidated statement of comprehensive expense is published, a separate statement of profit or loss for the parent Company is omitted from the Group financial statements by virtue of section 408 of the Companies Act 2006.

e) Revenue

Revenue is measured at the fair value of the consideration received or receivable and represents amounts receivable in the normal course of business. Revenue represents match receipts, sponsorship and other income associated with the continuing principal activity of running a professional football club and excludes Value Added Tax.

Match day revenue is recognised over the period of the football season as games are played. League income is spread over the financial year in which they relate. Sponsorship and similar commercial income is recognised over the duration of the respective contracts. Facility fees for live television coverage of games are recognised when the match is played.

f) Player costs and transactions

(i) *Initial capitalisation*

The costs associated with the acquisition of player registrations are capitalised as intangible fixed assets. Any intangible assets acquired on deferred terms are recorded at the fair value at the date of acquisition. The fair value represents the net present value of the costs of acquiring player registrations.

(ii) *Amortisation*

These costs are fully amortised on a straight-line basis in equal annual instalments over the period of the respective contracts.

(iii) *Contingent consideration*

Under the conditions of certain transfer agreements, further fees will be payable to the vendors in the event of the players concerned making a certain number of First Team appearances. Liabilities in respect of these additional transfers are accounted for, as provisions, when it becomes probable that the number of appearances will be achieved or the specified future events will occur.

1. **Accounting policies *(continued)***

(iv) ***Impairment***

The Group will perform an impairment review on the intangible assets if events or changes in circumstances indicate that the carrying amount of the player may not be recoverable. The Group compares the carrying amount of the asset with its recoverable amount. The Group does not consider that it is possible to determine the value in use of an individual football player in isolation as that player (unless via a sale or insurance recovery) cannot generate cash flows on his own. Furthermore, the Group also considers that all of the players are unable to generate cash flows even when considered together. Accordingly the Group considers the smallest cash-generating unit to contain all the other First Team players, the Stadium and the training facilities.

The Group calculates the value in use of this cash-generating unit by discounting estimated expected future cash flows (being the pre-player trading cash flows generated by the Group's existing operations and any future capital expenditure on the ground and First Team squad). The Group compares this with its assessment of the fair value less costs to sell off all of the First Team players and the higher of these two numbers is deemed to be the recoverable amount.

In certain rare instances there may be an individual player whom the Group does not consider to be part of the First Team squad and who will therefore not contribute to the future cash flows earned by the cash-generating unit. This is normally due to a permanent career-threatening injury/condition or due to a serious and permanent fall out with the Group's senior football management and Directors which, as a consequence, means the Group consider it highly unlikely he will ever play for the First Team again. In this situation, the carrying value of the player is removed from the carrying value of players assessed as part of the cash-generating unit referred to above and instead this player will be assessed for impairment in isolation by considering his carrying value with the Group's best estimate of his fair value less costs to sell. The Group estimate this using one of the following sources:

- in the case of a player who has permanently fallen out with the Group's senior football management and directors, either the agreed selling price in the event the player has been transferred subsequent to the year-end; or
- If there have not been any bids for the player, management's best estimation of the disposal proceeds (less costs) of the player on an arm's length basis. This is determined by the Group's senior football management in conjunction with the Directors who will use the outcome of recent player disposals (by both the Group and other football clubs) as a basis for their estimation. Any costs to sell, such as agency costs are deducted from the fair value; or
- in the case of a player who has suffered a career-threatening injury/condition, the value attributed to the player by the Group's insurers.

(v) ***Disposals***

Profits or losses on the disposal of these registrations represent the fair value of the consideration receivable, net of any transaction costs, less the unamortised cost of the original registration.

(vi) ***Remuneration***

Remuneration of players is charged in accordance with the terms of the applicable contractual agreements and any discretionary bonus when there is a legal or contractual obligation. Liabilities in respect of player loyalty fees are provided for, as part of operating expenses, when payment becomes probable as the player is contracted to the football club and the loyalty fee is payable prior to the next transfer window at the date the accounts are signed.

g) **Fixed assets**

All fixed assets are initially recorded at cost net of any capital contribution, with the exception of the stadium which has been included at a valuation of the replacement cost of the new stadium.

h) **Depreciation**

Depreciation is calculated so as to write off the cost of an asset, less its estimated residual value, over the useful economic life of that asset as follows:

Freehold Buildings	-	10 to 50 years straight line
Plant & machinery	-	5 years straight line
Fixtures & fittings	-	5 years straight line

Land and assets under construction are not depreciated.

1. **Accounting policies *(continued)***

i) **Inventories**
Inventories are valued at the lower of cost and net realisable value using the first in first out method, after making due allowance for obsolete and slow moving items.

j) **Operating lease agreements**
Rentals applicable to operating leases where substantially all of the benefits and risks of ownership remain with the lessor are charged against profits on a straight line basis over the period of the lease.

k) **Foreign exchange**
Transactions denominated in foreign currencies are translated into Sterling and recorded at the rates of exchange ruling at the date of the transactions. Translation differences are dealt with in the consolidated statement of comprehensive expense.

l) **Deferred taxation**
Deferred tax is recognised in respect of all material timing differences that have originated but not reversed at the reporting date where transactions or events have occurred at that date that will result in an obligation to pay more, or a right to pay less or to receive more tax. Deferred tax is measured on an undiscounted basis at the tax rates that are expected to apply in the periods in which timing differences reverse, based on tax rates and laws enacted or substantively enacted at the reporting date. Deferred tax assets are recognised to the extent that it is regarded more likely than not that they will be recovered.

m) **Financial instruments**
Financial instruments are classified and accounted for, according to the substance of the contractual arrangement, as either financial assets, financial liabilities or equity instruments. An equity instrument is any contract that evidences a residual interest in the assets of the Group after deducting all of its liabilities.

Financial assets
The Group's financial-assets relate to trade and other receivables and cash and cash equivalents. Trade and other receivables are classified as loans and receivables and are measured initially at fair value plus transaction costs and are carried subsequently at amortised cost under the effective interest method, less provision for any impairment. Any change in their value through impairment or reversal of impairment is recognised in the consolidated statement of profit or loss. There are no financial assets classified as fair value through profit or loss or as held to maturity or available for sale. All financial assets are assessed for indicators of impairment at each consolidated statement of financial position date. Financial assets are impaired where there is evidence that a loss has occurred and that estimated future cash flows of the financial asset have been impacted. Objective evidence of impairment for a portfolio of receivables could include a Group's past experience of collecting payments, an increase in the delayed number of payments in the portfolio and the average credit period, as well as observed changes in the national or local economic conditions that correlate with default on receivables.

Impairment of financial assets
All financial assets are assessed for indicators of impairment at each reporting date.

Financial liabilities
Financial liabilities which include bank loans, overdrafts and trade and other payables are measured initially at fair value net of transaction costs under the effective interest method and thereafter at amortised cost. Finance charges are accounted for on an accruals basis in the consolidated statement of comprehensive expense using the effective interest method.

De-recognition of financial liabilities
The Group derecognises financial liabilities when, and only when, the Group's obligations are discharged, cancelled, or they expire.

n) **Finance costs**
Finance costs of borrowings are recognised in profit or loss using the effective interest method. The effective interest rate is the rate that exactly discounts estimated future cash flows through the expected life of the borrowings.

Any non-current assets acquired on deferred terms are recorded at the discounted present value at the date of acquisition. The associated payable is then increased to the settlement value over the period of deferral, with this value being charged as a notional finance cost to profit or loss.

Similarly any intangible asset disposed of on deferred terms will be initially recorded at the discounted present value of future receipts and the receivable is then increased to the settlement value over the period of deferral with this value being charged as notional finance income to profit or loss.

1. Accounting policies *(continued)*

o) Pension costs

The Company operates a defined contribution pension scheme for employees. The assets of the scheme are held separately from those of the Company. The annual contributions payable are charged to profit or loss.

p) Investments

Investments in subsidiaries are stated at cost less impairment. Impairment reviews are carried out as required.

q) Cash and cash equivalents

Cash and cash equivalents consist of cash in hand and balances with banks including deposits with an original maturity of three months or less. Cash and cash equivalents are measured at fair value.

r) Critical accounting judgements and estimates

In the application of the Group's accounting policies, which are described herein, the directors are required to make judgements, estimates and assumptions about the carrying value of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates. The principal balances in the financial statements where changes in estimates and assumptions may have a material impact are:

(i) *Contingent liabilities*

Current liabilities and provisions contain contingent bonuses payable to employees, players and football clubs and are based on the best information available to management at the reporting date. However, the future costs assumed are inevitably only estimates, which may differ from those ultimately incurred.

(ii) *Recoverable amount of non-current assets*

All non-current assets, including property, plant and equipment and intangible assets, are reviewed for potential impairment using estimates of the future economic benefits attributable to them. Such estimates involve assumptions in relation to future ticket income, media and sponsorship revenue and on pitch performance. Any estimates of future economic benefits made in relation to non-current assets may differ from the benefits that ultimately arise, and materially affect, the recoverable value of the asset.

2. Revenue

The revenue and loss before tax are attributable to the one principal activity of the Group, and are derived from activities wholly within the United Kingdom.

Revenue may be analysed as follows:

	2020	2019
	£'000	£'000
Gate receipts	**4,036**	5,393
Broadcasting rights	**8,427**	21,966
Sponsorship, advertising	**1,842**	1,925
Commercial income	**1,868**	2,331
Sales of inventories	**902**	961
Other income	**1,224**	1,992
	18,299	34,568

3. Operating loss

This is stated after charging the following:

	2020 £'000	2019 £'000
Amortisation of intangible assets	**598**	4,411
Depreciation of owned fixed assets	**1,411**	1,475
Inventory impairment	**136**	-
Operating lease rentals		
- land & buildings	**627**	628
Auditor's remuneration		
- as auditor	**27**	28
- accountancy	**5**	7
- tax advice	**9**	-

4. Particulars of employees

The average number of staff, including executive directors, employed by the Group during the financial year can be analysed as follows:

	2020 No.	2019 No.
Number of football support staff	**13**	12
Players, managers and coaches	**99**	110
Administrative staff	**18**	21
Commercial, marketing and retail staff	**18**	18
Stadium and maintenance staff	**5**	6
	153	167

The aggregate payroll costs of the above were:

	2020 £'000	2019 £'000
Wages and salaries	**17,621**	21,735
Social security costs	**2,195**	2,038
Other pension costs	**194**	179
	20,010	23,952

Key management compensation:

	2020 £'000	2019 £'000
Wages and salaries	**1,340**	1,520
Other pension costs	**25**	11
	1,365	1,531

5. Directors remuneration

No remuneration or benefits were paid to directors during the year (2019: £Nil)

6. Profit/(loss) on disposal of non-current assets

	2020 £'000	2019 £'000
Profit/(loss) on disposal of plant & equipment	**1**	(6)
Profit on disposal of players' registrations	**5,994**	2,516
Loss on disposal of asset under construction	**(4,462)**	-

7. Finance income and costs

	2020 £'000	2019 £'000
Finance Income		
- Bank interest	**3**	12
- Amortised cost credit - EFL loan	**38**	-
	41	12
Finance costs and similar charges		
- Interest on deferred payments due to HMRC	**(6)**	-
- Amortised cost charge - Football creditor greater than one year	**-**	(30)
- Amortised cost charge - FFP settlement	**(904)**	(977)
- Other interest	**(1)**	-
	(911)	(1,007)

8. Taxation on ordinary activities

(a) Analysis of charge in the year

	2020 £'000	2019 £'000
Current tax:		
UK Corporation tax based on the results for the year (note 8(b))	**-**	-

(b) Factors affecting current tax charge

The tax assessed for the period is lower than the standard rate of corporation tax in the UK, the differences are explained below:

	2020 £'000	2019 £'000
Loss on ordinary activities before taxation	**(16,393)**	(10,387)
Loss on ordinary activities multiplied by standard rate of tax of 19% (2019 - 19%)	**(3,115)**	(1,973)
Expenses not deductible for tax	**876**	21
Unrecognised deferred tax	**2,239**	1,952
Total current tax (note 8(a))	**-**	-

A potential deferred tax asset exists at the reporting date in respect of tax losses carried forward. This has not been recognised in the accounts as there is insufficient evidence that the asset will be recoverable.

Tax losses carried forward at the reporting date were £369m (2019: £358m) relating to trading losses and £4m (2019: £nil) relating to capital losses

9. Intangible fixed assets

Group	Player registrations £'000
Cost	
At 1 June 2019	4,862
Additions	55
Disposals	(4,862)
At 31 May 2020	55
Amortisation	
At 1 June 2019	3,309
Charge for the year	598
On disposals	(3,894)
At 31 May 2020	13
Net book value	
At 31 May 2020	42
At 31 May 2019	1,553

The Group has chosen not to disclose carrying amounts for individual players, the average remaining amortisation period for the current players is 36 months.

Amortisation charges are included within the statement of comprehensive income under cost of sales.

10. Tangible fixed assets

Group and Company

	Freehold land and buildings £'000	Assets under construction £'000	Plant & Machinery £'000	Fixtures & Fittings £'000	Total £'000
Cost or valuation					
At 1 June 2019	21,335	4,541	5,698	1,008	32,582
Additions	-	320	73	-	393
Disposals	-	(4,462)	(8)	-	(4,470)
At 31 May 2020	21,335	399	5,763	1,008	28,505
Depreciation					
At 1 June 2019	5,254	-	4,873	969	11,096
Charge for the year	1,054	-	343	14	1,411
On disposals	-	-	(8)	-	(8)
At 31 May 2020	6,308	-	5,208	983	12,499
Net book value					
At 31 May 2020	**15,027**	**399**	**555**	**25**	**16,006**
At 31 May 2019	16,081	4,541	825	39	21,486

The £4,462,000 disposal shown within assets under construction relates to the write off of expenditure relating to the Warren Farm training facility project. The Club was unable to progress the development of the Warren Farm training facility project due to the numerous legal challenges faced by Ealing Council. Once the Heston site became available, the Club decided to purchase that site to develop into a facility for the First Team, Under 23s and Academy.

11. Investments

Company

	2020 £'000	2019 £'000
Net book value at 1 June and 31 May	**5,520**	5,520

The investment represents a 100% holding in Queens Park Rangers Football & Athletic Club Limited, a professional football club, incorporated in England and Wales. The registered office of the subsidiary is the same as QPR Holdings Limited, noted on page 1. Queens Park Rangers Football & Athletic Club Limited is included in this set of consolidated financial statements. The Directors have assessed the carrying value of the investment and are of the opinion that it is supported by the underlying membership to the English Football League.

12. Inventories

	Group		Company	
	2020 £'000	2019 £'000	**2020 £'000**	2019 £'000
Goods held for resale.	**240**	306	**240**	306

13. Trade and other receivables

	Group		Company	
	2020 £'000	2019 £'000	**2020 £'000**	2019 £'000
Trade receivables	**1,530**	1,489	**1,530**	1,489
Player registration transfer receivables	**2,788**	61	**-**	-
VAT	**140**	201	**140**	201
Other receivables	**50**	9	**50**	9
Prepayments and accrued income	**548**	2,974	**477**	270
	5,056	4,734	**2,197**	1,969

14. Current liabilities

	Group		Company	
	2020	2019	**2020**	2019
	£'000	£'000	**£'000**	£'000
Trade payables	**213**	492	**213**	492
Player registration transfer payables	**552**	557	**-**	-
Amounts owed by Group undertakings	**-**	-	**9,023**	7,455
Shareholder loans	**52,845**	45,435	**52,845**	45,435
Taxation and social security	**3,487**	1,981	**1,400**	1,143
Other creditors	**198**	24	**197**	22
EFL loan	**195**	-	**-**	-
FFP settlement	**1,700**	1,700	**-**	-
Accruals and deferred income	**4,343**	5,631	**2,892**	3,140
	63,533	55,820	**66,570**	57,687

The shareholder loans relate to loans repayable to QPR Asia Sdn Bhd and Total Soccer Growth Sdn Bhd. The loans and amounts owed by Group undertakings are unsecured, interest free and repayable on demand. Shareholder loan drawdowns for the year were £7,410,000 (2019: £11,400,000).

15. Non-current liabilities

	Group		Company	
	2020	2019	**2020**	2019
	£'000	£'000	**£'000**	£'000
EFL loan	**351**	-	**-**	-
FFP settlement	**8,791**	**9,587**	**-**	-
	9,142	**9,587**	**-**	-

The FFP settlement is shown at an amortised cost basis, discounted from a £13,600,000 full value (2019: £15,300,000), £1,700,000 falls due within one year. The EFL loan is shown at an amortised cost basis, discounted from £584,000 full value (2019: £Nil), £194,600 falls due within one year. Both these amounts are shown within note 14, the remainder is payable over a set number of years as agreed with the English Football League (EFL).

The Group's FFP settlement and EFL loan at the reporting date which have been discounted at the Group's cost of capital and which do not include interest payments are detailed as follows:-

	2020	2019
	£'000	£'000
Less than 1 year		
FFP settlement	**1,700**	1,700
EFL loan	**195**	-
Greater than 1 year		
FFP settlement	**11,900**	13,600
FFP settlement – Discounting adjustment	**(3,109)**	(4,013)
Carrying value	**8,791**	9,587
EFL loan	**389**	-
EFL loan - Discounting adjustment	**(38)**	-
Carrying value	**351**	-
Total	**11,037**	11,287

16. Payables - capital instruments

The maturity profile of the Group's total borrowings at the reporting date which are carried at amortised cost are as follows:

	2020			2019		
	Principal £'000	**Interest £'000**	**Total £'000**	Principal £'000	Interest £'000	Total £'000
In one year or less or on demand	**53,945**	**795**	**54,740**	46,230	905	47,135
In more than one year but not more than five years	**5,154**	**2,035**	**7,189**	4,333	2,467	6,800
In more than five years	**4,784**	**316**	**5,100**	6,159	641	6,800
	63,883	**3,146**	**67,029**	56,722	4,013	60,735

17. Commitments under operating leases

The Group is committed to paying a non-cancellable operating lease in relation to land & buildings which does expire within the next five years.

	Group		Company	
	2020 £'000	2019 £'000	**2020 £'000**	2019 £'000
Not later than 1 year	**53**	629	**53**	629
Later than 1 year and not later than 5 years	**-**	52	**-**	52
	53	681	**53**	681

In June 2020 the Group committed to a two-year operating lease at a cost of £462,500 per annum.

18. Related parties

During the period, loans were provided to the Group by to QPR Asia Sdn Bhd and Total Soccer Growth Sdn Bhd a shareholder of the Group. Details of these loans are shown in note 14.

During the period the Group pledged £115,000 (2019: £70,000) to QPR in the Community Trust.

During the year the Group spent £100,452 (2019: £102,061) on behalf of Rangers Developments Limited, an entity under common control, £29,201 (2019: £Nil) is still owed to the Group at the reporting date and is included within other receivables in note 13.

During the period, income of £390,000 (2019: £300,000) was received from entities controlled by Mr Ruben Gnanalingam, Mr Tony Fernandes and Mr Kamarudin Meranun in relation to sponsorship agreements relating to certain areas in the stadium.

In accordance with the exemption permitted by Financial Reporting Standard 102, Section 33 "Related Party Disclosures", transactions with other Group undertakings have not been disclosed in these financial statements.

19. Ultimate Controlling Party

The Company is incorporated in England and Wales. The address of the Company's registered address is Kiyan Prince Foundation Stadium, South Africa Road, London, W12 7PJ. The Company is a subsidiary of Total Soccer Growth Holdings Ltd which is the ultimate holding Company incorporated in Malaysia. The smallest and largest Group in which results of the Company are consolidated is that headed by Total Soccer Growth Holdings Ltd which is the holding Company of Total Soccer Growth Sdn Bhd. The consolidated accounts of this Company are available to the public and may be obtained from the Company registrar.

The current ownership of QPR Holdings Limited is as follows:

- 51.01% Total Soccer Growth Sdn Bhd, the ultimate owner of which is Ruben Gnanalingam
- 45.85% QPR Asia Sdn. Bhd., the ultimate owners of which are Tony Fernandes, Kamarudin Meranun
- 2.94% Sea Dream Ltd., the ultimate owners of which are the L.N.Mittal Family
- 0.19% variety of minority shareholders

20. Share capital and reserves

Authorised share capital:

	2020	2019
	£'000	£'000
8,597,899,029 Ordinary shares of £0.01 each	**85,979**	85,979
7,486,367,000 Ordinary B shares of £0.001 each	**7,486**	7,486
	93,465	93,465

Allotted and called up:

	2020		2019	
	No	**£'000**	No	£'000
Ordinary shares of £0.01 each	**8,597,399,029**	**85,979**	8,597,399,029	85,979
Ordinary B shares of £0.001 each	**7,486,367,000**	**7,486**	7,486,367,000	7,486
		93,465		93,465

The ordinary B shares have a different par value but carry the same voting rights.

Reserves

Share premium account - This reserve records the amount above the nominal value received for shares sold, less transaction costs.

Profit and loss account - This reserve records retained earnings and accumulated losses.

21. Notes to the cash flow statement

Group

Reconciliation of operating loss to net cash outflow from operating activities

	2020 £'000	2019 £'000
Operating loss	(17,056)	(11,902)
Amortisation	598	4,411
Depreciation	1,411	1,475
Change in stocks	66	156
Change in debtors	2,405	(476)
Change in creditors	(1,005)	(7,039)
Net cash outflow from operating activities	(13,581)	(13,375)

Returns on investments and servicing of finance

	2020 £'000	2019 £'000
Interest received	3	12
Interest paid	(6)	-
Net cash (outflow)/inflow from returns on investments and servicing of finance	(3)	12

Capital expenditure

	2020 £'000	2019 £'000
Payments to acquire player registrations	(60)	(329)
Payments to acquire tangible fixed assets	(393)	(452)
Receipts from sale of player registrations	4,235	3,772
Receipts from sale of tangible fixed assets	2	2
Net cash inflow from capital expenditure	3,784	2,993

Financing

	2020 £'000	2019 £'000
Net inflow from shareholder financing	7,410	11,400
Net cash inflow from financing	7,410	11,400

Net cash is defined as cash and cash equivalents.

Analysis of changes in net debt

	At 1 June 2019 £'000	Cash flows £'000	At 31 May 2020 £'000
Cash:			
Cash in hand and at bank	3,520	(2,390)	1,130
Debt:			
Debt due within 1 year	(45,435)	(7,410)	(52,845)
Net debt	(41,915)	(9,800)	(51,715)

21. Notes to the cash flow statement *(continued)*

Company

Reconciliation of operating loss to net cash outflow from operating activities

	2020 £'000	2019 £'000
Operating loss	(12,057)	(10,510)
Depreciation	1,411	1,475
Change in stocks	66	156
Change in debtors	(228)	(374)
Change in creditors	1,472	(941)
Net cash outflow from operating activities	(9,336)	(10,194)

Returns on investments and servicing of finance

	2020 £'000	2019 £'000
Interest received	3	12
Interest paid	(6)	-
Net cash (outflow)/inflow from returns on investments and servicing of finance	(3)	12

Capital expenditure

	2020 £'000	2019 £'000
Payments to acquire tangible fixed assets	(393)	(452)
Receipts from sale of tangible fixed assets	2	2
Net cash outflow from capital expenditure	(391)	(450)

Financing

	2020 £'000	2019 £'000
Net inflow from shareholder financing	7,410	11,400
Net cash inflow from financing	7,410	11,400

Analysis of changes in net debt

	At 1 June 2019 £'000	Cash flows £'000	At 31 May 2020 £'000
Cash:			
Cash in hand and at bank	3,128	(2,320)	808
Debt:			
Debt due within 1 year	(45,435)	(7,410)	(52,845)
Net debt	(42,307)	(9,730)	(52,037)

22. Financial instruments

Capital risk management
The Group manages its capital to ensure that the Group will be able to continue as a going concern through the optimisation of the debt and equity balance. The capital structure of the Group consist of debt, which includes borrowings disclosed in notes 14, cash and cash equivalents and equity attributable to equity holders, comprising issued share capital, share premium and the profit and loss account.

The main purpose of financial instruments is to finance the Group's operations. The Group has other financial assets and liabilities such as trade and other receivables and trade and other payables, which arise directly from its operations.

Categories of financial instruments

	2020 £'000	2019 £'000
Financial Assets		
- Cash and cash equivalent	**1,130**	3,520
- Trade and other receivables	**4,368**	1,559
	5,498	5,079
Financial Liabilities		
- Trade and transfer related creditors	**963**	1,073
- FFP	**10,491**	11,287
- EFL loan	**546**	-
- Borrowings	**52,845**	45,435
	64,845	57,795

The above financial assets and financial liabilities do not include prepayments and accruals respectively.

Financial risk management objectives and policies

Management monitor and manage the financials risks relating to the operations of the Group through internal controls. These risks include currency risk, credit risk and liquidity risk.

Credit risk

The Group's principal financial assets are bank balances, cash and trade receivables. The Group's credit risk is primarily attributable to its trade receivables. Credit risk is managed by monitoring the aggregate amount and duration of exposure to any one customer depending upon their credit rating. The amounts presented in the statement financial position are net of allowances for doubtful debts, estimated by the Group's management based on prior experience and their assessment of the current economic environment.

The credit risk on liquid funds is limited because the counterparties are banks with high credit-ratings assigned by international credit-rating agencies. The Group has no significant concentration of credit risk, with exposure spread over a large number of counterparties and customers.

Liquidity risk

Ultimate responsibility for liquidity risk management rests with the Directors. The Directors use management information tools including budgets and cash flow forecasts to be able to constantly monitor and manage current and future liquidity.

The funding of the Group is through loans from the principal shareholder as disclosed in note 14.

23. Post reporting date events

During the 2020 summer transfer window we secured Robert Dickie, Lyndon Dykes, Charlie Lee-Kelman and Christopher Willock on permanent transfers. During the January 2021 transfer window, we also secured Joe Walsh and Macauley Bonne on permanent transfers, the latter of which had been on loan to us since October 2020. These player registrations were acquired at a cost of £7,003,000 (2019: £55,263) of which £1,165,500 (2019: Nil) is contingent on one or more future events.

In addition, Eberechi Eze transferred to Crystal Palace, Ryan Manning to Swansea and Bright Osayi-Samuel to Fenerbahçe Sports Club. Toni Leistner's contract was terminated by mutual consent and in addition Grant Hall, Marc Pugh and Angel Rangel departed due to their contracts expiring.

In November 2020 the club completed the purchase of Heston Sports Ground at a cost of £4,500,000. The Heston site currently houses our Academy and this purchase will allow us to develop a training ground that will host the First Team, Under 23s and the Academy. The purchase and future development of the site has been financed by a bond of £10,000,000 issued to the spouse of Ruben Gnanalingam. The bonds have an initial term of five years, are unsecured and carry a fixed rate of interest of 6% per annum.

Due to the 1920 mid-season suspension in relation to the Covid-19 global pandemic, the season did not end until late July after restarting in June, with our last 9 matches played behind closed doors. The delayed finish of the 1920 season resulted in the 2021 season only commencing in September 2020, but behind closed doors. This has taken a toll on the financials of the Group, this time more severely than the 1920 season, as we have played nearly the whole season so far behind closed doors. The impact on our bottom line has significantly impacted our strategic plans, and we are concentrating our main efforts on minimising the adverse financial impact this season.

24. Commitments

As at 31 May 2020, the Club was committed to paying signing on fees in respect of players of £300,000 (2019: £400,000).